

HOW THE BRICS 'UNIT' BENEFITS GOLD

THE BRICS RECENTLY ANNOUNCED A PROTOTYPE CURRENCY, CALLED THE 'UNIT', WHICH IS BACKED 40% BY GOLD AND THE REST BY CURRENCIES OF THE MAIN NATIONS OF THE BLOC IN EQUAL MEASURE

► **STEADY GOLD DEMAND:**

Backing the UNIT with 40% gold creates steady demand for physical gold, stabilising its price and making it a core reserve asset

► **DEDOLLARISATION:**

By offering a gold-anchored alternative, it reduces reliance on the US dollar for trade, weakening the dollar's dominance

► **STRATEGIC RESERVE BUILDING:** BRICS nations are incentivised to hold more gold to back the

Unit, boosting central bank gold reserves

► **FINANCIAL RESILIENCE:**

Gold acts as a hedge against currency volatility and external financial pressures, providing stability for the new system

► **EMPOWERING EMERGING ECONOMIES:**

It provides a pathway for non-Western nations to build parallel financial systems, reducing dependence on traditional Western-dominated structures



ILLUSTRATION BY **RAJESH ANGIRA**

oil, increasing inflation. Furthermore, the trade balance rises as the trade deficit widens," says Gaglani.

THE OUTLOOK

It may not be all smooth sailing for precious metals.

Gijssels of BNP Paribas Fortis says the largest commodities bull

market in recent history comes with a catch. There may be violent corrections from time to time. "Currently, the precious metals complex is overbought. So, a 10%-plus correction may happen any time just because momentum temporarily collapses under its own weight."

As for the reasons for such a correction, he says markets always find a suitable excuse. "It could be a ceasefire in Ukraine, higher interest rates, much stronger economic data...", Gijssels adds. The real rationale would be that it is time for a pause because the market has run too far, too fast. Even then, come next Christmas, the precious metals complex will be much higher than today, he says.

Brokerage giant JP Morgan, too, is upbeat on gold. It expects the yellow metal to trade at \$5,055 per troy ounce by December 2026 and \$5,245 per troy ounce by 2027.

Sentiment is bullish in India as well. Hareesh V, Head of Commodity Research at Geojit Investments, says, "Gold is expected to remain well bid in 2026 as long as global growth risks escalate and growth slows sharply. Key drivers include further US Fed rate cuts, a softer US dollar, and sticky inflation supporting gold's safe-haven appeal."

What then of India's import conundrum? It's not clear what the government can do. It tried to curb imports by issuing sovereign gold bonds. That scheme, which gave investors paper in the place of physical gold with the added enticement of interest, was stopped last year as government liabilities skyrocketed to more than ₹1.2 lakh crore due to sharp rise in gold prices.

Madan Sabnavis, Chief Economist at the Bank of Baroda, offers a sober take. Demand increased mainly because of the volatility sparked by Trump's tariffs, which weakened the US dollar and boosted gold demand. Silver's rise, meanwhile, was a collateral effect heightened by supply shortages. "In my view prices will stabilise next year as clarity emerges on dollar tariffs and fed rates." **BT**

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